

Corporate Social Responsibility, Ethics, and Sustainability

Target Skill

corporate social responsibility skill: the ability to take action that protects and improves both the welfare of society and the interests of the organization

o b j e c t i v e s

To help build my *corporate social responsibility skill*, when studying this chapter, I will attempt to acquire:

1. A thorough understanding of the term *corporate social responsibility*
2. An ability to argue both for and against the assumption of social responsibilities by business
3. Useful strategies for increasing the social responsiveness of an organization
4. Insights into the planning, organizing, influencing, and controlling of social responsibility activities

CHALLENGE CASE

VERIZON'S COMMITMENT TO SOCIAL RESPONSIBILITY

VERIZON, A LEADING GLOBAL provider of wireless telecommunications services, has nearly 223,000 employees and recently posted \$107 billion in revenues. Currently, more than 100 million customers use Verizon's network.

Verizon is committed to making the world a better place. To manage and implement its social responsibility mission, the company established the Verizon Foundation. Led by Patrick R. Gaston, the foundation concentrates its efforts in two areas: literacy and education and safety and health.

Verizon's emphasis on education stems from dismal national statistics: more than two-thirds of America's students score below proficiency levels in reading and math. To help, Verizon established Thinkfinity, an online storehouse offering a wealth of standards-based educational resources for home and classroom use at no charge.

Verizon also focuses on public safety, saying that one in four women, one in nine men, and more than 3 million children in America will experience domestic violence in their lifetime. Domestic violence is reportedly the single greatest cause of injury to women ages 15 to 44 in the United States, with the annual health-related costs of intimate partner violence totaling nearly \$6 billion. Verizon provides wireless phones to not-for-profit organizations for the use of their clients, survivors, and victims of abuse. The company also helps maintain a directory of resources providing pro bono legal services to victims of domestic violence.

The company also encourages social responsibility among employees and retirees. Employees can obtain company assistance coordinating fundraising campaigns for their favorite charity, and employees who log 50 hours of volunteer time can register their charity for a \$750 grant from Verizon. Retirees can double the impact of their contributions to higher education through Verizon's 1:1 matching program.

Verizon responded decisively after an earthquake devastated Haiti. Besides enabling employees and customers to make mobile text donations to the Red Cross, the company donated \$50,000 each to World Vision and Food for the Poor to aid in relief efforts. In addition, to help those affected by the quake, Verizon waived all long-distance usage charges for calls from residential landlines and Verizon wireless phones to Haiti for several weeks following the quake. Calls were billed at zero cents per minute and, for customers whose calling plan includes monthly minutes, calls to Haiti did not accrue to their total.



■ After an earthquake devastated Haiti, Verizon participated in relief efforts by enabling employees and customers to make mobile text donations to the Red Cross, in addition to donating \$50,000 each to World Vision and Food for the Poor.

As Verizon Foundation president Gaston said, “The passion to lead corporate philanthropy efforts and create a stronger, wiser, and healthier nation and world stands at the core of the Verizon Foundation’s mission.” Gaston attributed that passion to the “hearts, minds and hands” of Verizon

employees and retirees and the not-of-profit agencies Verizon supports. Verizon has recently awarded \$67.5 million to nonprofit organizations and was named to *Fortune* magazine’s list of the world’s most admired companies.¹

EXPLORING YOUR MANAGEMENT SKILL

You can explore your level of corporate social responsibility skill **before** studying the chapter by completing the exercise “Exploring Your Management Skill: Part 1” on page 75 and

after studying this chapter by completing the exercise “Exploring Your Management Skill: Part 2” on page 76.

THE CORPORATE SOCIAL RESPONSIBILITY CHALLENGE

The Challenge Case illustrates the social responsibility challenges that Verizon strives to meet. The remaining material in this chapter explains corporate social responsibility concepts and helps develop the corresponding corporate social responsibility skill you will need to meet such challenges throughout your career. Within the chapter, *ethics* is presented as a catalyst

that spurs management into being socially responsible and *sustainability* is presented as an approach to social responsibility that emphasizes present and future resource use. After studying chapter concepts, read the Challenge Case Summary at the end of the chapter to help you relate chapter content to meeting social responsibility challenges at Verizon.

FUNDAMENTALS OF SOCIAL RESPONSIBILITY

The term *social responsibility* means different things to different people. For purposes of this chapter, however, **corporate social responsibility** is the managerial obligation to take action that protects and improves both the welfare of society as a whole and the interests of the organization. According to the concept of corporate social responsibility, a manager must strive to achieve societal as well as organizational goals.² This obligation is important for managers worldwide, including those in emerging economies.³

how managers do it

Managing Responsibly at Arch Chemicals

Michael E. Campbell is the top manager at Arch Chemicals.⁴ Campbell recently explained how his company focuses on social responsibility through its production of water sanitization products. According to Campbell, water supplies are undergoing extreme swings in developed and underdeveloped countries across the globe due to violent storms and floods. Campbell believes water shortages are growing and in the near future will affect more than 450 million people. Also, according to Campbell, even when water is available, it is not unusual to find water sources that are too contaminated for people to drink without the risk of serious illness. Following the spirit of the social responsibility concept, Campbell pointed out that seeing both human need and, someday at least, profits, companies in the chemical industry have now begun developing a wide range of technologies that can help secure safe drinking water for the world’s poor. ■

The amount of attention given to the area of social responsibility by both management and society has increased in recent years and probably will continue to increase.⁵ The following sections present the fundamentals of social responsibility of businesses by discussing these topics:

1. The Davis Model of corporate social responsibility
2. Areas of corporate social responsibility
3. Varying opinions on social responsibility
4. Conclusions about the performance of social responsibility activities by business

The Davis Model of Corporate Social Responsibility

A generally accepted model of corporate social responsibility was developed by Keith Davis.⁶ Stated simply, Davis's model is a list of five propositions that describe why and how business should adhere to the obligation to take action that protects and improves the welfare of society as well as that of the organization:

- **Proposition 1: Social responsibility arises from social power**—This proposition is derived from the premise that business has a significant amount of influence on, or power over, such critical social issues as minority employment and environmental pollution. In essence, the collective action of all businesses in the country primarily determines the proportion of minorities employed and the prevailing condition of the environment in which all citizens must live.
Davis reasons that because business has this power over society, society can and must hold business responsible for social conditions that result from the exercise of this power. Davis explains that society's legal system does not expect more of business than it does of each individual citizen exercising personal power.
- **Proposition 2: Business shall operate as a two-way open system, with open receipt of inputs from society and open disclosure of its operations to the public**—According to this proposition, business must be willing to listen to what must be done to sustain or improve societal welfare. In turn, society must be willing to listen to business reports on what it is doing to meet its social responsibilities. Davis suggests that there must be ongoing, honest, and open communications between business and society's representatives if the overall welfare of society is to be maintained or improved.



A Home Depot assistant manager at work in Stratford, CT. One area of social responsibility for Home Depot includes convincing its suppliers to protect forests in countries like Chile and Indonesia.

Source: Courtesy of Douglas Healey/The New York Times/Redux Pictures.

- **Proposition 3: The social costs and benefits of an activity, product, or service shall be thoroughly calculated and considered in deciding whether to proceed with it**—This proposition stresses that technical feasibility and economic profitability are not the only factors that should influence business decision making. Business should also consider both the long- and short-term societal consequences of all business activities before undertaking them.
- **Proposition 4: The social costs related to each activity, product, or service shall be passed on to the consumer**—This proposition states that business cannot be expected to completely finance activities that may be socially advantageous but economically disadvantageous. The cost of maintaining socially desirable activities within business should be passed on to consumers through higher prices for the goods or services related to these activities.
- **Proposition 5: Business institutions, as citizens, have the responsibility to become involved in certain social problems that are outside their normal areas of operation**—This last proposition points out that if a business possesses the expertise to solve a social problem with which it may not be directly associated, it should be held responsible for helping society solve that problem. Davis reasons that because business eventually will reap an increased profit from a generally improved society, business should share in the responsibility of all citizenry to generally improve society.

Areas of Corporate Social Responsibility: Going Green

The areas in which business can act to protect and improve the welfare of society are numerous and diverse. Perhaps the most publicized of these areas are urban affairs, consumer affairs, community volunteerism, and employment practices. The one area that is arguably receiving the most recent attention is the area of ecology conservation, popularly called “going green.”⁷ An international effort sponsored by the United Nations is currently underway and growing to get large companies to start thinking seriously about ecosystems and how to maintain them. Companies are responding. For example, the Coca-Cola Company is exploring ways to maintain its bottling operation in India without using underground water; the Mohawk Home Company is developing a new line of bathroom rugs with all natural fibers;⁸ and Kellogg’s is developing environmentally sensitive products, such as its organic Rice Krispies.⁹ Pressure groups are also springing up to persuade companies to “go green.” One such group, The Center for Health, Environment, and Justice, was founded and is led by grassroots leader, Lois Gibbs.

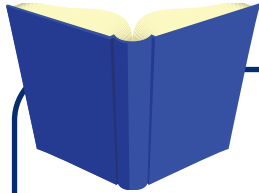
Varying Opinions on Social Responsibility

Although numerous businesses are already involved in social responsibility activities, much controversy remains about whether such involvement is necessary or even appropriate. The following two sections present some arguments for and against businesses performing social responsibility activities.¹⁰

Arguments for Business Performing Social Responsibility Activities The best-known argument for the performance of social responsibility activities by business was alluded to earlier in this chapter. This argument begins with the premise that business, as a whole, is a subset of society, one that exerts a significant impact on the way society exists. Because business is such an influential member of society, the argument continues, it has the responsibility to help maintain and improve the overall welfare of society.¹¹ If society already puts this responsibility on its individual members, then why should its corporate members be exempt?

In addition, some people argue that business should perform social responsibility activities because profitability and growth go hand-in-hand with responsible treatment of employees, customers, and the community. This argument says, essentially, that performing social responsibility activities is a means of earning greater organizational profit.¹²

Researchers continue to study the relationship between corporate social responsibility and revenue growth.¹³ However, empirical studies have not yet demonstrated a definitive relationship between corporate social responsibility and profitability. In fact, several companies that have been acknowledged leaders in social commitment—including Control Data Corporation, Atlantic Richfield, Dayton-Hudson, Levi Strauss, and Polaroid—simultaneously experienced serious financial difficulties.¹⁴ No direct relationship between corporate social responsibility activities and these financial difficulties was shown, however.



research highlight

DOES SOCIAL RESPONSIBILITY HELP A COMPANY'S BOTTOM LINE?

This chapter introduces social responsibility as a modern management challenge. For years, scholars have examined the influence of social responsibility on a company's financial performance. In an attempt to add more evidence to this debate, a recent study by Professors Brammer and Millington examined the influence of corporate donations on a company's bottom line.¹⁵

To examine this relationship in detail, the authors tracked 537 firms listed on the London

Stock Exchange over 10 years. The authors classified the companies as making high, medium, or low levels of charitable donations. The authors then studied the short- and long-term financial performance of these three groups of firms. Do you think charitable donations led to better or worse short-term performance? What about long-term performance? Prepare to defend your answers in class.

Arguments Against Business Performing Social Responsibility

Activities The best-known argument against business performing social responsibility activities has been advanced by Milton Friedman, one of America's most distinguished economists. Friedman argues that making business managers simultaneously responsible to business owners for reaching profit objectives and to society for enhancing societal welfare sets up a conflict of interest that could potentially cause the demise of business as it is known today. According to Friedman, this demise will almost certainly occur if business is continually forced to perform socially responsible actions that directly conflict with private organizational objectives.¹⁶

Friedman also argues that to require business managers to pursue socially responsible objectives may, in fact, be unethical, because it compels managers to spend money on some individuals that rightfully belongs to other individuals. Following Friedman's argument, a corporate executive is an employee of a business and is directly responsible to owners of the business. Overall, this responsibility is to conduct business in ways desired by the owners. Usually, owners desire to maximize profit while following the basic rules of society reflecting both laws and ethical customs. When managers reduce profit, they are spending owners' money. When managers raise prices of products they are spending customers' money.¹⁷

An example that Friedman could use to illustrate his argument is the Control Data Corporation. Former chairman William Norris involved Control Data in many socially responsible programs that cost the company millions of dollars—from building plants in the inner city and employing a minority workforce to researching farming on the Alaskan tundra. When Control Data began to incur net losses of millions of dollars in the mid-1980s, critics blamed Norris's "do-gooder" mentality. Eventually, a new chairman was installed to restructure the company and return it to profitability.¹⁸

Conclusions About the Performance of Social Responsibility Activities by Business

The preceding section presented several major arguments for and against businesses performing social responsibility activities. Regardless of which argument or combination of arguments particular managers embrace, they generally should make a concerted effort to do the following:

- 1. Perform all legally required social responsibility activities.
- 2. Consider voluntarily performing social responsibility activities beyond those legally required.
- 3. Inform all relevant individuals of the extent to which the organization will become involved in performing social responsibility activities.

Performing Required Social Responsibility Activities Federal legislation requires that businesses perform certain social responsibility activities. In fact, several government agencies have been established expressly to enforce such business-related legislation (see Table 3.1). The Environmental Protection Agency, for instance, has the authority to require businesses to adhere to certain socially responsible environmental standards. Examples of specific legislation requiring the performance of corporate social responsibility activities are the Equal Pay Act of 1963, the Equal Employment Opportunity Act of 1972, the Highway Safety Act of 1978, and the Clean Air Act Amendments of 1990.¹⁹

Voluntarily Performing Social Responsibility Activities Adherence to legislated social responsibilities is the minimum standard of social responsibility performance that business managers must achieve. Managers must ask themselves, however, how far beyond the minimum they should go.

Determining how far to go is a simple process to describe, yet it is difficult and complicated to implement. It entails assessing the positive and negative outcomes of performing social responsibility activities over both the short and the long terms, and then performing only those activities that maximize management system success while making a desirable contribution to the welfare of society.

TABLE 3.1 Primary Functions of Several Federal Agencies That Enforce Social Responsibility Legislation

Federal Agency	Primary Agency Functions
Equal Employment Opportunity Commission	Investigates and conciliates employment discrimination complaints that are based on race, sex, or creed
Office of Federal Contract Compliance Programs	Ensures that employers holding federal contracts grant equal employment opportunity to people regardless of their race or sex
Environmental Protection Agency	Formulates and enforces environmental standards in such areas as water, air, and noise pollution
Consumer Product Safety Commission	Strives to reduce consumer misunderstanding of manufacturers' product design, labeling, and so on, by promoting clarity of these messages
Occupational Safety and Health Administration	Regulates safety and health conditions in nongovernment workplaces
National Highway Traffic Safety Administration	Attempts to reduce traffic accidents through the regulation of transportation-related manufacturers and products
Mining Enforcement and Safety Administration	Attempts to improve safety conditions for mine workers by enforcing all mine safety and equipment standards



Sara Lee Bakery took voluntary action to help employees who were developing the painful symptoms of carpal tunnel syndrome. Following a thorough investigation, the company asked its own engineers to design new tools for the workers that soon eliminated the symptoms.

Events at the Sara Lee Bakery plant in New Hampton, Iowa, illustrate how company management can voluntarily take action to protect employees' health. Many employees at the plant began to develop carpal tunnel syndrome, a debilitating wrist disorder caused by repeated hand motions. Instead of simply having its employees go through physical therapy—and, as the principal employer in the town, watching the morale of the town drop—Sara Lee thoroughly investigated the problem. Managers took suggestions from factory workers and had their engineers design tools to alleviate the problem. The result was a virtual elimination of carpal tunnel syndrome at the plant within a short time.²⁰

Communicating the Degree of Social Responsibility Involvement

Determining the extent to which a business should perform social responsibility activities beyond legal requirements is a subjective process. Despite this subjectivity, however, managers should have a well-defined position in this vital area and should inform all organization members of that position.²¹ Taking these steps will ensure that managers and organization members behave consistently to support the position and that societal expectations of what a particular organization can achieve in this area are realistic.

Nike, the world-famous athletic-gear manufacturer, recently felt so strongly that its corporate philosophy on social responsibility issues should be clearly formulated and communicated that the company created a new position, vice president of corporate and social responsibility. Maria Eitelto, a former public-relations executive at Microsoft, was hired to fill that position and is now responsible for clearly communicating Nike's thoughts on social responsibility both inside and outside the organization.²²

SOCIAL RESPONSIVENESS

The previous section discussed social responsibility, a business's obligation to take action that protects and improves the welfare of society along with the business's own interests. This section defines and discusses **social responsiveness**, the degree of effectiveness and efficiency an organization displays in pursuing its social responsibilities.²³ The greater the degree of effectiveness and efficiency, the more socially responsive the organization is said to be. The next three sections address the following issues:

1. Determining whether a social responsibility exists
2. Social responsiveness and decision making
3. Approaches to meeting social responsibilities

Determining Whether a Social Responsibility Exists

One challenge facing managers who are attempting to be socially responsive is to determine which specific social obligations are implied by their business situation. Managers in the tobacco industry, for example, are probably socially obligated to contribute to public health by pushing for the development of innovative tobacco products that do less harm to people’s health than present products do, but they are not socially obligated to help reclaim shorelines contaminated by oil spills.

Clearly, management has an obligation to be socially responsible toward its stakeholders. A **stakeholder** is any individual or group that is directly or indirectly affected by an organization’s decisions.²⁴ Managers of successful organizations typically have many different stakeholders to consider: stockholders, or owners of the organization; suppliers; lenders; government agencies; employees and unions; consumers; competitors; and local communities as well as society at large. Table 3.2 lists these stakeholders and gives a corresponding example of how a manager is socially obligated to each of them.

Social Responsiveness and Decision Making

The socially responsive organization that is both effective and efficient meets its social responsibilities without wasting organizational resources in the process. Determining exactly which social responsibilities an organization should pursue and then deciding how to pursue them are the two most critical decisions for maintaining a high level of social responsiveness within an organization.

Figure 3.1 is a flowchart that managers can use as a general guideline for making social responsibility decisions that enhance the social responsiveness of their organization. This figure implies that for managers to achieve and maintain a high level of social responsiveness within an organization, they must pursue only those responsibilities their organization possesses and has a right to undertake. Furthermore, once managers decide to meet a specific social responsibility, they must determine the best way to undertake activities related to meeting this obligation. That is, managers must decide whether their organization should undertake the activities on its own or acquire the help of outsiders with more expertise in the area.

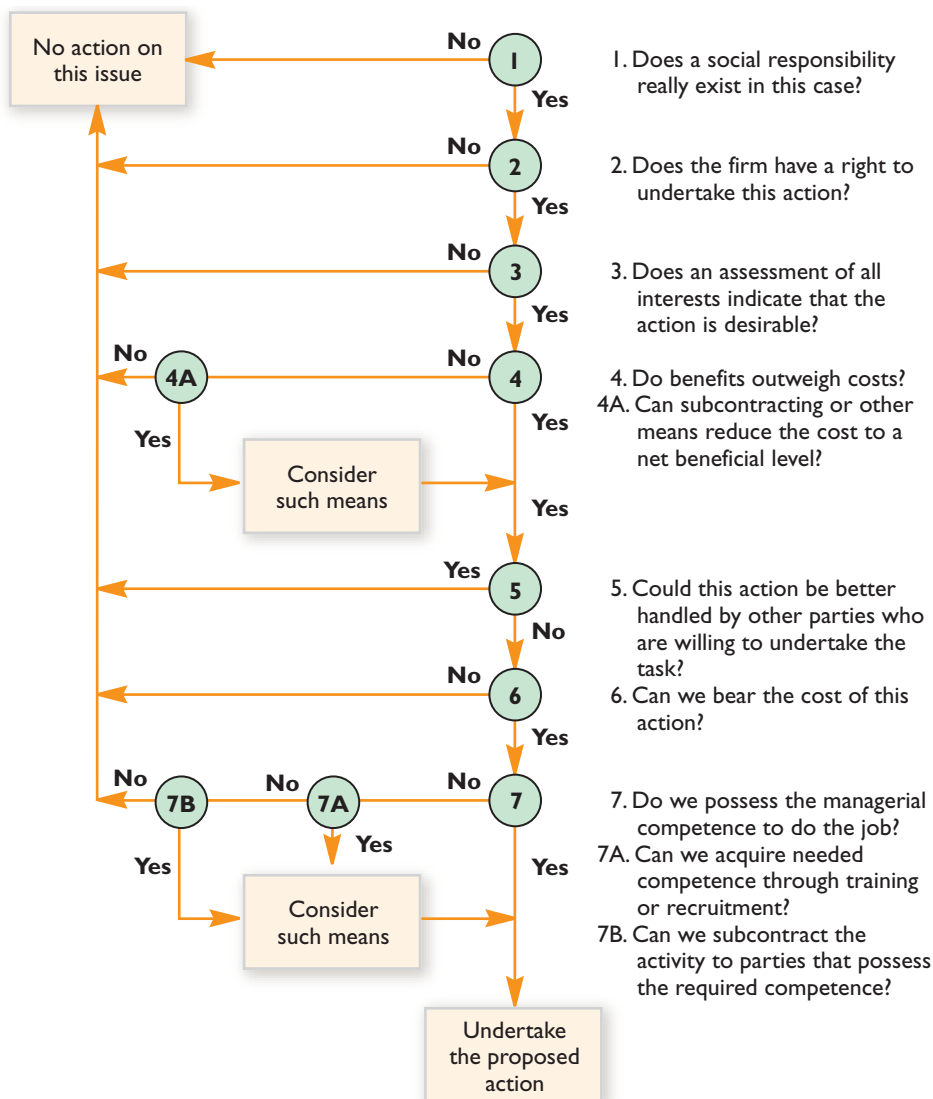
Approaches to Meeting Social Responsibilities

Various managerial approaches to meeting social obligations are another determinant of an organization’s level of social responsiveness. According to Lipson, a desirable and socially responsive approach to meeting social obligations does the following:²⁵

TABLE 3.2

Stakeholders of a Typical Modern Organization and Examples of Social Obligations Managers Owe to Them

Stakeholder	Social Obligations Owed
Stockholders/owners of the organization	To increase the value of the organization
Suppliers of materials	To deal with them fairly
Banks and other lenders	To repay debts
Government agencies	To abide by laws
Employees and unions	To provide safe working environment and to negotiate fairly with union representatives
Consumers	To provide safe products
Competitors	To compete fairly and to refrain from restraints of trade
Local communities and society at large	To avoid business practices that harm the environment



1. Incorporates social goals into the annual planning process.
2. Seeks comparative industry norms for social programs.
3. Presents reports to organization members, the board of directors, and stockholders on social responsibility progress.
4. Experiments with different approaches for measuring social performance.
5. Attempts to measure the cost of social programs as well as the return on social program investments.

S. Prakash Sethi presents three management approaches to meeting social obligations:²⁶

1. Social obligation approach
2. Social responsibility approach
3. Social responsiveness approach

Each of these approaches entails behavior that reflects a somewhat different attitude toward performance of social responsibility activities by business. The **social obligation approach**, for example, considers business as having primarily economic purposes and confines social responsibility activity mainly to existing legislation. The **social responsibility approach** sees business as having both economic and societal goals. The **social responsiveness approach** considers business as having both societal and economic goals as well as the obligation to anticipate potential social problems and work actively toward preventing their occurrence.

Organizations characterized by attitudes and behaviors consistent with the social responsiveness approach are generally more socially responsive than organizations characterized by attitudes and behaviors consistent with either the social responsibility or the social obligation approach. And organizations that take the social responsibility approach usually achieve higher levels of social responsiveness than organizations that take the social obligation approach. In other words, as one moves along the continuum from social obligation to social responsiveness, one generally finds management becoming more proactive. Proactive managers do what is prudent from a business viewpoint to reduce liabilities regardless of whether such action is required by law.

SOCIAL RESPONSIBILITY ACTIVITIES AND MANAGEMENT FUNCTIONS

This section considers social responsibility as a major organizational activity subject to the same management techniques used in other major organizational activities, such as production, personnel, finance, and marketing. Managers have known for some time that to achieve desirable results in these areas, they must be effective in planning, organizing, influencing, and controlling. Achieving social responsibility results is no different. The following sections discuss planning, organizing, influencing, and controlling social responsibility activities.

Planning Social Responsibility Activities

Planning was defined in Chapter 1 as the process of determining how the organization will achieve its objectives, or get where it wants to go. Planning social responsibility activities, then, involves determining how the organization will achieve its social responsibility objectives, or get where it wants to go in the area of social responsibility. The following sections discuss how the planning of social responsibility activities is related to the organization's overall planning process and how its social responsibility policy can be converted into action.

The Overall Planning Process The model presented in Figure 3.2 illustrates how social responsibility activities can be handled as part of the overall planning process of the organization. As shown in this figure, social trends forecasts should be performed within the organizational environment along with the more typically performed economic, political, and technological trends forecasts. Examples of social trends that organizations can forecast are societal attitudes toward water pollution, safe working conditions, and the national education system.²⁷ Each of the forecasts would influence the development of the organization's long-run plans, or plans for the more distant future, and short-run plans, or plans for the relatively near future.

Organizing Social Responsibility Activities

Organizing was discussed in Chapter 1 as the process of establishing orderly uses for all the organization's resources. These uses emphasize the attainment of management system objectives and flow naturally from management system plans. Correspondingly, organizing for social

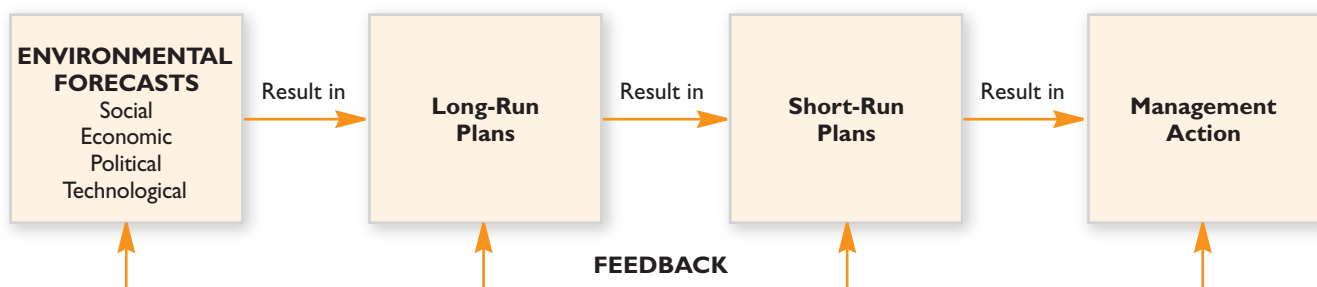


FIGURE 3.2 Integration of social responsibility activities and planning activities

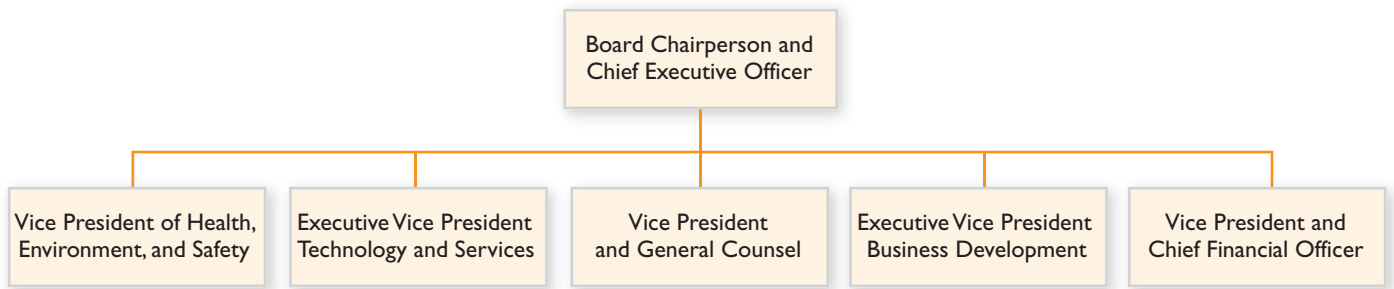


FIGURE 3.3 How ChevronTexaco Company includes social responsibility in its organization chart

responsibility activities entails establishing for all organizational resources logical uses that emphasize the attainment of the organization's social objectives that are consistent with its social responsibility plans.

Figure 3.3 shows how ChevronTexaco Corporation decided to organize for the performance of its social responsibility activities. The vice president for Health, Environment, and Safety has primary responsibility in the area of societal affairs and oversees the related activities of numerous individuals. This chart is intended only as an illustration of how a company might include its social responsibility area on its organization chart. Specific organizing in this area should always be tailored to the unique needs of a company.

Influencing Individuals Performing Social Responsibility Activities

Influencing was defined in Chapter 1 as the management process of guiding the activities of organization members to help attain organizational objectives. As applied to the social responsibility area, then, influencing is the process of guiding the activities of organization members to help attain the organization's social responsibility objectives. More specifically, to influence appropriately in this area, managers must lead, communicate, motivate, and work with groups in ways that result in the attainment of the organization's social responsibility objectives.

Controlling Social Responsibility Activities

Controlling, as discussed in Chapter 1, is making things happen as they were planned to happen. To control, managers assess or measure what is occurring in the organization and, if necessary, change these occurrences in some way to make them conform to plans. Controlling in the area of social responsibility entails the same two major tasks. The following sections discuss various areas in which social responsibility measurement takes place and examine the social audit, a tool for determining and reporting progress in the attainment of social responsibility objectives.

Areas of Measurement Measurements to gauge organizational progress in reaching social responsibility objectives can be taken in any number of areas. The specific areas in which individual companies decide to take such measurements will vary according to the specific social responsibility objectives to be met. All companies, however, should take social responsibility measurements in at least the following four major areas:²⁸

1. **The economic function area**—A measurement should be made of whether the organization is performing such activities as producing goods and services that people need, creating jobs for society, paying fair wages, and ensuring worker safety. This measurement gives some indication of the economic contribution the organization is making to society.

2. **The quality-of-life area**—The measurement of quality of life should focus on whether the organization is improving or degrading the general quality of life in society. Producing high-quality goods, dealing fairly with employees and customers, and making an effort to preserve the natural environment are all indicators that the organization is upholding or improving the general quality of life. As an example of degrading the quality of life, some people believe that cigarette companies, because they produce goods that can harm the health of society overall, are socially irresponsible.²⁹

how managers do it

Responding Responsibly to Stakeholders at Volcom, Inc.

As an example of how an organization chooses to improve the general quality of life, consider events at Volcom, Inc., the manufacturer of activewear for surfers, snowboarders, and skateboarders. Some time ago Volcom management recognized its commitment to behaving responsibly toward its stakeholders. The company introduced a line of apparel made of 100 percent organic cotton and launched an initiative focused on reusing items to reduce the environmental impact. For its employees, the company sponsored eco-friendly initiatives, such as an Earth Day picnic and beach cleanups. In addition to donating 1 percent of its sales to global environmental organizations, the company allocates a percentage of proceeds from certain products to community-based charities. Volcom also actively supports organizations that focus on reducing hunger and homelessness.³⁰ ■

3. **The social investment area**—The measurement of social investment deals with the degree to which the organization is investing both money and human resources to solve community social problems. Here, the organization could be involved in assisting community organizations dedicated to education, charities, and the arts.
4. **The problem-solving area**—The measurement of problem solving should focus on the degree to which the organization deals with social problems, such as participating in long-range community planning and conducting studies to pinpoint social problems.

The Social Audit: A Progress Report A **social audit** is the process of measuring the present social responsibility activities of an organization to assess its performance in this area. The basic steps in conducting a social audit are monitoring, measuring, and appraising all aspects of an organization's social responsibility performance. Although some companies that pioneered concepts of social reporting, such as General Electric, are still continuing their social audit efforts, other companies have been somewhat slow to follow but are now growing in noticeable number.

BUSINESS ETHICS

The study of ethics in management can be approached from many different directions. Perhaps the most practical approach is to view ethics as catalyzing managers to take socially responsible actions. The movement to include the study of ethics as a critical part of management education began in the 1970s, grew significantly in the 1980s, and is expected to continue growing in the twenty-first century. John Shad, chair of the Securities and Exchange Commission during the 1980s when Wall Street was shaken by a number of insider trading scandals, recently pledged a \$20 million trust fund to the Harvard Business School to create a curriculum in business ethics for MBA students. Television producer Norman Lear gave \$1 million to underwrite the Business Enterprise Trust, which will give national awards to companies and "whistle blowers ... who demonstrate courage, creativity, and social vision in the business world."³¹

The following sections define ethics, explain why ethical considerations are a vital part of management practices, discuss a workable code of business ethics, and present some suggestions for creating an ethical workplace.

A Definition of Ethics

The famous missionary physician and humanitarian Albert Schweitzer defined ethics as “our concern for good behavior. We feel an obligation to consider not only our own personal well-being, but also that of other human beings.” This meaning is similar to the precept of the Golden Rule: Do unto others as you would have them do unto you.³²

In business, **ethics** can be defined as the capacity to reflect on values in the corporate decision-making process, to determine how these values and decisions affect various stakeholder groups, and to establish how managers can use these observations in day-to-day company management.³³ Ethical managers strive for success within the confines of sound management practices that are characterized by fairness and justice.³⁴ Interestingly, using ethics as a major guide in making and evaluating business decisions is not only popular in the United States but also in the very different societies of India and Russia.³⁵

Why Ethics Is a Vital Part of Management Practices

John F. Akers, former board chair of IBM, recently said that it makes good business sense for managers to be ethical. Unless they are ethical, he believes, companies cannot be competitive in either national or international markets. According to Akers:

Ethics and competitiveness are inseparable. We compete as a society. No society anywhere will compete very long or successfully with people stabbing each other in the back; with people trying to steal from one another; with everything requiring notarized confirmation because you can't trust the other person; with every little squabble ending in litigation; and with government writing reams of regulatory legislation, tying business hand and foot to keep it honest.³⁶

Although ethical management practices may not be linked to specific indicators of financial profitability, conflict is not inevitable between ethical practices and making a profit. As Akers's statement suggests, our system of competition presumes underlying values of truthfulness and fair dealing. The employment of ethical business practices can enhance overall corporate health in three important areas: productivity, stakeholder relations, and government regulation.

Productivity The employees of a corporation constitute one major stakeholder group that is affected by management practices. When management is resolved to act ethically toward stakeholders, then employees will be positively affected. For example, a corporation may decide that business ethics requires it to make a special effort to ensure the health and welfare of its employees. To this end, many corporations have established Employee Advisory Programs (EAPs) to help employees with family, work, financial or legal problems, or with mental illness or chemical dependency. These programs have even enhanced productivity in some corporations. For instance, Control Data Corporation found that its EAP reduced health costs and sick-leave usage significantly.³⁷

Stakeholder Relations The second area in which ethical management practices can enhance corporate health is by positively affecting “outside” stakeholders such as suppliers and customers. A positive public image can attract customers who view such an image as desirable. For example, Johnson & Johnson, the world's largest maker of health care products, is guided by “Our Credo,” addressed more than 60 years ago by General Robert Wood Johnson to the company's employees, stockholders, and members of its community (see Figure 3.4).

FIGURE 3.4

Johnson & Johnson's Credo

Source: www.careers.jnj.com.

We believe our first responsibility is to the doctors, nurses and patients,
to mothers and fathers and all others who use our products and services.
In meeting their needs everything we do must be of high quality.
We must constantly strive to reduce our costs
in order to maintain reasonable prices.
Customers' orders must be serviced promptly and accurately.
Our suppliers and distributors must have an opportunity
to make a fair profit.

We are responsible to our employees,
the men and women who work with us throughout the world.
Everyone must be considered as an individual.
We must respect their dignity and recognize their merit.
They must have a sense of security in their jobs.
Compensation must be fair and adequate,
and working conditions clean, orderly, and safe.
We must be mindful of ways to help our employees fulfill
their family responsibilities.
Employees must feel free to make suggestions and complaints.
There must be equal opportunity for employment, development
and advancement for those qualified.
We must provide competent management,
and their actions must be just and ethical.

We are responsible to the communities in which we live and work
and to the world community as well.
We must be good citizens—support good works and charities
and bear our fair share of taxes.
We must encourage civic improvements and better health and education.
We must maintain in good order
the property we are privileged to use,
protecting the environment and natural resources.

Our final responsibility is to our stockholders.
Business must make a sound profit.
We must experiment with new ideas.
Research must be carried on, innovative programs developed
and mistakes paid for.
New equipment must be purchased, new facilities provided
and new products launched.
Reserves must be created to provide for adverse times.
When we operate according to these principles,
the stockholders should realize a fair return.

Government Regulation The third area in which ethical management practices can enhance corporate health is in minimizing government regulation. Where companies are believed to be acting unethically, the public is more likely to put pressure on legislators and other government officials to regulate those businesses or to enforce existing regulations. For example, in 1995, Texas state legislators held public hearings on the operations of the psychiatric hospital industry. These hearings arose, at least partly, out of the perception that private psychiatric hospitals were not following ethical pricing practices.³⁸

A Code of Ethics

A **code of ethics** is a formal statement that acts as a guide for the ethics of how people within a particular organization should act and make decisions. Ninety percent of *Fortune* 500 firms, and almost half of all other firms, have ethical codes. Moreover, many organizations that do not already have an ethical code are giving serious consideration to developing one.³⁹

Codes of ethics commonly address such issues as conflict of interest, competitors, privacy of information, gift giving, and giving and receiving political contributions or business. A code of ethics recently developed by Nissan of Japan, for example, barred all Nissan employees from

accepting almost all gifts or entertainment from, or offering them to, business partners and government officials. The new code was drafted by Nissan president Yoshikazu Hanawa and sent to 300 major suppliers.⁴⁰

According to a recent survey, the development and distribution of a code of ethics is perceived as an effective and efficient means of encouraging ethical practices *within* organizations.⁴¹ Figure 3.5



Code of Ethics

I. Honest and Ethical Conduct

Netflix Parties are expected to act and perform their duties ethically and honestly and with the utmost integrity. Honest conduct is considered to be conduct that is free from fraud or deception. Ethical conduct is considered to be conduct conforming to accepted professional standards of conduct. Ethical conduct includes the ethical handling of actual or apparent conflicts of interest between personal and professional relationships as discussed in below.

II. Conflicts of Interest

A conflict of interest exists where the interests or benefits of one person or entity conflict or appear to conflict with the interests or benefits of the Company. While it is not possible to describe every situation in which a conflict of interest may arise, Netflix Parties must never use or attempt to use their position with the Company to obtain improper personal benefits. Any Netflix Party who is aware of a conflict of interest, or is concerned that a conflict might develop, is required to discuss the matter with a higher level of management or the General Counsel promptly. Senior Financial Officers may, in addition to speaking with the General Counsel, also discuss the matter with the Audit Committee.

III. Disclosure

Senior Financial Officers are responsible for ensuring that the disclosure in the Company's periodic reports is full, fair, accurate, timely and understandable. In doing so, Senior Financial Officers shall take such action as is reasonably appropriate to (i) establish and comply with disclosure controls and procedures and accounting and financial controls that are designed to ensure that material information relating to the Company is made known to them; (ii) confirm that the Company's periodic reports comply with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934; and (iii) ensure that information contained in the Company's periodic reports fairly presents in all material respects the financial condition and results of operations of the Company.

Senior Financial Officers will not knowingly (i) make, or permit or direct another to make, materially false or misleading entries in the Company's, or any of its subsidiary's, financial statements or records; (ii) fail to correct materially false and misleading financial statements or records; (iii) sign, or permit another to sign, a document containing materially false and misleading information; or (iv) falsely respond, or fail to respond, to specific inquiries of the Company's independent auditor or outside legal counsel.

IV. Compliance

It is the Company's policy to comply with all applicable laws, rules and regulations. It is the personal responsibility of each Netflix Party to adhere to the standards and restrictions imposed by those laws, rules and regulations, and in particular, those relating to accounting and auditing matters.

Any Netflix Party who is unsure whether a situation violates any applicable law, rule, regulation or Company policy should discuss the situation with the General Counsel.

V. Internal Reporting

Netflix Parties shall take all appropriate action to stop any known misconduct by fellow Netflix Parties that violate this Code. To this end, Netflix Parties shall report any known or suspected misconduct to the General Counsel or, in the case of misconduct by a Senior Financial Officer, also to the Chair of the Company's Audit Committee. In addition, Netflix Parties are encouraged to use the Company's confidential internal reporting system to report breaches of this Code. Information

FIGURE 3.5

Netflix's Code of Conduct

Source: <http://files.shareholder.com/downloads/NFLX/991705948x0x17642/ccfbe9a7-f0a5-4c16-a3a4-9471252b4144/73.pdf>

(continued)

FIGURE 3.5 (Continued)

concerning the Company's confidential internal reporting system can be located on the Company's Intranet. The Company will not retaliate or allow retaliation for reports made in good faith.

VI. Accountability

Any violation of this Code may result in disciplinary action, including termination, and if warranted, legal proceedings. This Code is a statement of certain fundamental principles, policies and procedures that govern the Netflix Parties in the conduct of the Company's business. It is not intended to and does not create any rights in any employee, customer, supplier, competitor, shareholder or any other person or entity. The General Counsel and/or the Audit Committee will investigate violations and appropriate action will be taken in the event of any violation of this Code.

VII. Waivers and Amendments of the Code

The Company is committed to continuously reviewing and updating our policies and procedures. Therefore, this Code is subject to modification. Any amendment or waiver of any provision of this Code must be approved in writing by the Company's Board of Directors and promptly disclosed pursuant to applicable laws and regulations. Any waiver or modification of the Code by a Senior Financial Officer will be promptly disclosed to stockholders if and as required by law or the rules of the stock exchange or over the counter trading system on which Netflix's stock is traded or quoted.

contains an excerpt from the code of conduct used at Netflix to encourage ethical practices within the company.

Managers cannot assume that merely because they have developed and distributed a code of ethics, organization members have all the guidelines they need to determine what is ethical and to act accordingly. It is impossible to cover all ethical and unethical conduct within an organization in one code. Managers should view codes of ethics as tools that must be evaluated and refined periodically so that they will be comprehensive and usable guidelines for making ethical business decisions efficiently and effectively.⁴²

Creating an Ethical Workplace

Managers commonly strive to encourage ethical practices, not only to be morally correct, but to gain whatever business advantage lies in projecting an ethical image to consumers and employees.⁴³ Creating, distributing, and continually improving a company's code of ethics is one common step managers can take to establish an ethical workplace.

Another step many companies are taking to create an ethical workplace is to appoint a chief ethics officer. The chief ethics officer has the job of ensuring the integration of organizational ethics and values into daily decisions at all organizational levels. Such officers recommend, help implement, and reinforce strategies aimed at integrating appropriate conduct throughout all phases of company operations. Figure 3.6 lists a few characteristics that a person should have to be a successful chief ethics officer.

Another way to promote ethics in the workplace is to furnish organization members with appropriate training. General Dynamics, McDonnell Douglas, Chemical Bank, and American Can Company are examples of corporations that conduct training programs aimed at encouraging ethical practices within their organizations.⁴⁴ Such programs do not attempt to teach managers what is moral or ethical, but to give them criteria they can use to help determine how ethical a certain action might be. Managers can feel confident that a potential action will be considered ethical by the general public if it is consistent with one or more of the following standards:⁴⁵

1. **The golden rule**—Act in a way you would expect others to act toward you.
2. **The utilitarian principle**—Act in a way that results in the greatest good for the greatest number of people.

1. The ability to be objective
2. The ability to understand the structure of an organization
3. The ability to know and maneuver within an organization's culture
4. The ability to communicate clearly and concisely
5. The ability to deal with conflict
6. The ability to keep matters confidential

*For more discussion of such skills see www.eoa.org.

FIGURE 3.6

Skills needed to be a successful chief ethics officer*

3. **Kant's categorical imperative**—Act in such a way that the action taken under the circumstances could be a universal law, or rule, of behavior.
4. **The professional ethic**—Take actions that would be viewed as proper by a disinterested panel of professional peers.
5. **The TV test**—Managers should always ask, “Would I feel comfortable explaining to a national TV audience why I took this action?”
6. **The legal test**—Is the proposed action or decision legal? Established laws are generally considered minimum standards for ethics.
7. **The four-way test**—Managers can feel confident that a decision is ethical if they can answer “yes” to the following questions: Is the decision truthful? Is it fair to all concerned? Will it build goodwill and better friendships? Will it be beneficial to all concerned?

Finally, managers can take responsibility for creating and sustaining conditions in which people are likely to behave ethically and for minimizing conditions in which people might be tempted to behave unethically. Two practices that commonly inspire unethical behavior in organizations are to give unusually high rewards for good performance and unusually severe punishments for poor performance. By eliminating such factors, managers can reduce any pressure on employees to perform unethically in organizations.

Following the Law: Sarbanes–Oxley Reform Standards

Outrageous management practices were recently discovered at several companies including Enron, WorldCom, and Tyco that seemed aimed at unjustifiably maximizing the personal wealth of top managers to the detriment of the well-being of other organizational stakeholders. As an example, many of these managers used inaccurate accounting reports to deceive employees, shareholders, legal authorities, the media, and the general public. These reports grossly overstated the level of company performance, allowing top managers to justify inflated salaries. Some employees were personally outraged by the deceitful management practices, and others experienced personal financial disaster after being encouraged to invest in worthless company stock and company retirement programs. Needless to say, managers involved in such deceitful practices were prosecuted to the full extent of the law.

Amid outcries of public outrage over such practices, the Sarbanes–Oxley Act of 2002 was passed to try to prevent such future deception in publicly owned companies. The general thrust of this legislation focuses on promoting ethical conduct.⁴⁶ Areas covered include maintaining generally accepted accounting practices, evaluating executive compensation, monitoring fundamental business strategies, understanding and mitigating major risk, and ensuring company structure and processes that enhance integrity and reputation.

Managers who do not follow stipulations of the Sarbanes–Oxley Act face significant jail time. Infractions such as securities fraud, impeding a financial investigation by regulators, and mail fraud can result in up to 25 years of imprisonment. The Sarbanes–Oxley Act and related significant

infraction penalties create hope that grossly unethical behavior will be significantly discouraged in the future.

The Sarbanes–Oxley Act seems to support whistle-blowing as a vehicle for both discouraging deceptive management practices while encouraging ethical management practices. **Whistle-blowing** is the act of an employee reporting suspected misconduct or corruption believed to exist within an organization. A **whistle-blower** is the employee who reports the alleged activities. Whistle-blowers can make their reports in a number of different ways, including reporting suspected organizational wrongdoings to proper legal authorities and/or proper management authorities. The Sarbanes–Oxley Act prohibits retaliation by employers against whistle-blowers.

One of the most famous whistle-blowers of modern times is Sherron Watkins, former vice president of Enron Corporation.⁴⁷ Watkins testified to Congress that she was extremely alarmed by information she received about Enron’s finances, and warned then-chairman Kenneth Lay that investors were being duped by inflated profit statements. Watkins attempted, with no success, to persuade Lay to restate and reissue corporate financial statements after eliminating accounting misrepresentations. Enron, once the seventh largest corporation in the United States, declared bankruptcy in December 2001. The bankruptcy cost thousands of employees their jobs and retirement pensions and investors lost millions of dollars. Perhaps mostly based on Watkins’s testimony, Lay was charged and found guilty on six criminal counts of fraud. Lay died at age 64 awaiting sentencing for his Enron conviction.⁴⁸

Ethics abuses at major corporations and other highly publicized business missteps have highly sensitized Americans to greed and corporate corruption. Business scholars see ethics remaining a hot topic for years to come.⁴⁹

SUSTAINABILITY

Thus far, this chapter has focused on a manager’s job by discussing corporate social responsibility as a society-based management obligation and ethics as a catalyst spurring management to pursue corporate social responsibility activities. This section discusses sustainability as an approach to corporate social responsibility that emphasizes present and future resource needs of society.

In recent decades, there has been an undeniable growing interest in sustainability.⁵⁰ This interest focuses on topics like how organizations can better conserve natural resources, reduce organizational waste, recycle used resources, and preserve the environment by protecting threatened plant and animal species.⁵¹ The following sections define sustainability, define a sustainable organization, discuss why managers should build sustainable organizations, and outline steps that managers can use to help build sustainable organizations.

Defining Sustainability

Traditionally, the term *sustainability* has been used within management literature to describe the ability of a company to maintain a steady and improving stream of earnings. More recently, however, the term is often used in a much different way. In this section, reflecting this newer, different use of the term, **sustainability** is the degree to which a person or entity can meet its present needs without compromising the ability of other people or entities to meet their needs in the future.⁵²

To illustrate the meaning of sustainability, assume that as part of its normal production process, an entity rids itself of contaminated waste by dumping it into a river. If this dumping renders the river toxic and unusable for fishing or recreation, the entity would be considered unsustainable. On the other hand, if the entity purifies the waste before dumping it to protect the cleanliness of the river, the entity would be considered sustainable. Overall, the more an entity increases its ability to meet present needs without compromising the ability of others to meet their needs in the future, the more sustainable the entity.

Defining a Sustainable Organization

Building upon the above definition of sustainability, a **sustainable organization** is an organization that has the ability to meet its present needs without compromising the ability of future generations to meet their needs. In building a sustainable organization, management should strive to make the organization sustainable in three areas: the economy, the environment, and society. In terms of the economy, the sustainable organization focuses on performing behaviors such as minimizing waste by not overproducing goods and generating a fair profit for stakeholders. Regarding the environment, the sustainable organization emphasizes performing behavior akin to protecting natural resources like air, water, and land. In terms of society, the sustainable organization stresses performing behavior such as maintaining the well-being and protection of the communities in which it does business.⁵³

For example, consider recent events at PepsiCo, with its billion-dollar portfolio of food and beverage brands. After measuring the carbon footprint of its Tropicana orange juice brand, managers discovered that more than one-third of Tropicana's carbon emissions—the single largest source—came from the use of fertilizers during the growing process. As a result, Tropicana partnered with two manufacturers of low-carbon fertilizers and one of its orange growers, SMR Farms in Bradenton, Florida, to conduct long-term tests of the fertilizers and identify an alternative to reduce Tropicana's carbon emissions. The study will last at least five years, to match the maturity cycle of orange trees, and its findings could impact global best practices in agriculture. Adopting behaviors that protect the world's natural resources will help PepsiCo achieve its sustainability goals.⁵⁴ ■

how managers do it

Building a Sustainable Organization at PepsiCo

Managers have historically focused on the yardstick of profit, or the *bottom line*, as the primary gauge for evaluating organizational performance. In more recent times, managers are evaluating organizational performance by examining three sustainability gauges: the economy (which includes profit), the environment, and society. All three sustainability gauges for organizational performance considered collectively are commonly referred to as the **triple bottom-line**.⁵⁵

The term *triple bottom-line* emphasizes that managers should focus on building organizations that are sustainable in economic, environmental, and societal activities. Essentially, the overall degree of sustainability achieved by any organization is judged by collective accomplishments in all three of these areas. If any one area is lacking in sustainability, the organization as a whole is lacking in sustainability. Being able to answer 'yes' to questions like the following would indicate that an organization is operating in a manner that is consistent with the triple bottom-line standard:

Is the organization providing a fair return to its stakeholders? (economic area)

Is the organization protecting or improving the natural environment through its work methods? (environmental area)

Is the organization protecting or improving the overall quality of life in the communities in which it does business? (societal area)

Why Sustainability?

Some people ask if building sustainable organizations is worthwhile. Management theorists and practicing managers alike outline many sound reasons why managers should build sustainable organizations. The following sections discuss a few such reasons.

Increased Profit Perhaps the most often used reason why managers should build sustainable organizations is that increased sustainability commonly results in more profitable organizations. History shows that sustainability doesn't have to be a burden on profit.⁵⁶ According to Brian Walker, the CEO of Herman Miller, achieving a position of leadership in sustainability can boost product demand. Walker found that customers are reluctant to buy from a company simply because of a worthwhile history of sustainability and probably won't pay a premium for its products.⁵⁷ However, a sustainable company is the type of company with which modern day customers like to do business.⁵⁸

Increased Productivity Another reason commonly given why managers should strive to build sustainable organizations relates to employee productivity.⁵⁹ Many management theorists and practitioners claim that increased labor productivity is commonly the most immediate payoff of sustainability. According to this line of reasoning, a sustainable organization builds its workplace to include features like temperature control, clean air, noise control, and appropriate lighting. Workers in such workplaces have been shown to be as much as 16 percent more productive than workers in workplaces without features like temperature control, clean air, noise control, and appropriate lighting.

Increased Innovation A third reason commonly given why managers should pursue sustainability is that such a pursuit serves as a catalyst for innovation.⁶⁰ Management researchers are now finding that a byproduct of pursuing sustainability is a flood of valuable organizational and technological innovations that help organizations become more successful.⁶¹

To illustrate, consider recent events at Sam's Club, a discount retail division of Wal-Mart that specializes in the sale of products like jewelry, clothes, and food. Management at Sam's Club decided to pursue increasing sustainability by decreasing energy costs. One solution to decreasing energy costs was quite an innovation, a new milk jug. According to Doug McMillon, CEO of Sam's Club, the new jug increased the shelf life of milk in stores. Because of this greater shelf life, the new jug actually helped to reduce energy costs by eliminating the need for more than 10,000 milk truck deliveries to various stores. This milk jug innovation at Sam's Club was an outcome of an effort to increase sustainability and resulted in not only making the organization more sustainable, but also more successful.

Steps for Achieving Sustainability

The actual steps that managers take to increase organizational sustainability can vary drastically from organization to organization. For example, to increase sustainability, a chemical company might take steps to reduce hazardous waste, a shoe manufacturer might take steps to reduce energy consumption, and a food products company might take steps to buy food products only from suppliers who grow food using approved fertilizers.

Overall, to have a successful sustainability effort, a manager must understand the unique characteristics of a particular organization and the industry within which that organization exists. Based on this understanding, management must tailor sustainability activities and processes that best meet the needs of individual organizations.

Despite the fact that many of management's steps to achieve sustainability can vary significantly from organization to organization, there are some steps that a manager can take to help build a sustainable organization regardless of his or her organization. These steps include:

Setting sustainability goals. Management should set goals that clearly outline what the organization is attempting to accomplish in the area of sustainability. Such goals provide organization members with clear targets on which they can focus their sustainability efforts. Such targets provide a vehicle that management can use to ensure organization members have a unified, collective impact on organizational sustainability.

Consider the following sustainability goal set by Marks & Spencer, one of the largest retailers in the United Kingdom: Becoming the first major retailer to ensure that six key raw materials—

palm oil, soya, cocoa, beef, leather, coffee—come from sustainable sources that do not contribute to deforestation, one of the biggest causes of climate change.

Marks & Spencer's sustainability goal gives clear direction in announcing that the company will enhance its own sustainability by supporting suppliers who are focused on enhancing their own sustainability. In essence, Marks & Spencer's sustainability goal is to help eliminate deforestation by doing business with suppliers with the same goal. By establishing this goal and making sure all organization members understand it, Marks & Spencer is guiding its buyers to do business with only those suppliers who will help make Marks & Spencer a more sustainable organization.

Hiring organization members who can help the organization become more sustainable. A primary key to accomplishing any worthwhile activity in an organization is having appropriately talented people perform that activity. If an organization does not have appropriately talented people to accomplish an activity, individuals should be recruited and hired who possess the talent. Such recruiting and hiring will normally increase the probability that the activity is performed successfully.

Following the reasoning outlined above, hiring appropriately talented people can also be a primary key for ensuring that necessary sustainability activities are successfully performed in organizations. For example, many organizations have sustainability projects that focus on improving the use of energy and materials through new building construction or remodeling. Such projects typically explore topics like energy efficiency, materials selection, water savings, and indoor environmental quality. The U.S. Green Building Business Council runs a program called LEED (Leadership in Energy and Environmental Design) that is an ecology oriented certification program that rates the ecology impact of buildings of all types. Hiring individuals who understand the LEED program could help ensure that sustainability oriented construction or remodeling projects will be performed successfully in an organization.

As another example, Weis Markets, a regional grocery store chain headquartered in Pennsylvania, recently made a special hire to help with the company's sustainability efforts.⁶² The company hired Patti Olenick, a sustainability specialist from the Pennsylvania Department of Environmental Protection. Olenick has extensive experience in waste management, recycling, and composting. She is expected to help the company develop a more systematic and coordinated approach to Weis Market sustainability programs.

Rewarding employees who contribute to an organization's sustainability goals. In all organizations, managers must encourage the performance of appropriate behavior, behavior that contributes to the accomplishment of organizational goals. In the sustainability area, managers should reward organization members who contribute to the accomplishment of sustainability goals. The purpose of the reward is to recognize organization members for what they've accomplished in the area of sustainability and to increase the probability that such organization members will continue to make contributions toward accomplishing organizational sustainability goals in the future.

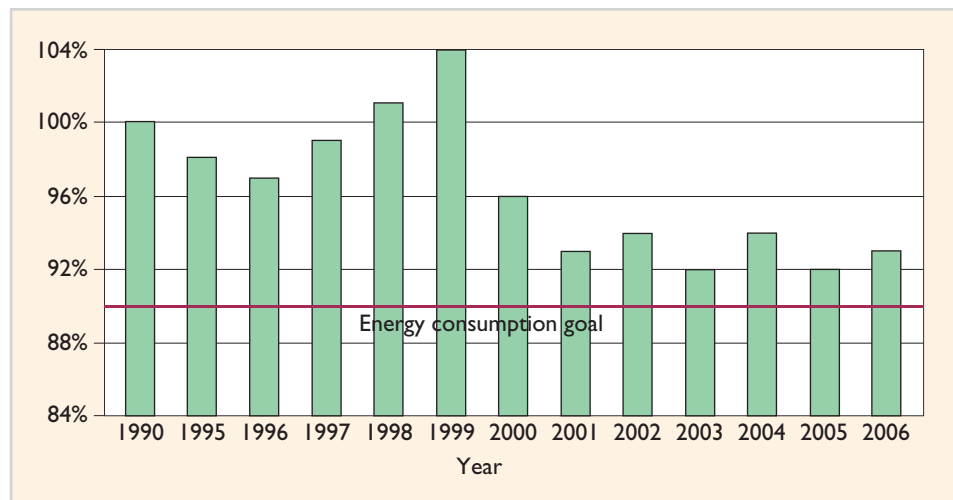
The Colorado Department of Health and Public Environment provides an excellent illustration of how management can use rewards to encourage organization members to contribute to the attainment of sustainability goals. Management has designed and implemented an awards program that provides employees who excel in pursuing sustainability activities with a cash reward at a banquet held at the Denver Museum of Nature and Science. All employees are encouraged to nominate individuals to receive the award who have implemented a new sustainability program, have demonstrated innovation in sustainability solutions, or have displayed leadership in protecting the environment.

Tracking progress in reaching sustainability goals. As stated previously, setting sustainability goals is a critical component of an organization's sustainability effort. Such goals set clear targets on which all organization members can focus. However, simply setting such goals is not enough. Managers must also track an organization's progress in reaching such goals. Knowing if an organization is on schedule, behind schedule, or ahead of schedule in reaching sustainability goals is critical to ensuring the organization will ultimately reach those goals. If an organization is not on track for reaching sustainability goals, adjustments should be made to get the organization on track.

FIGURE 3.7

Chart DuPont uses to track progress in reaching 2010 energy consumption goal.

Source: DuPont Sustainability Progress Report, 2008, p. 4.



DuPont is a science-based company that focuses on creating problem solutions that contribute to a better, safer, and healthier human life. Well-known products offered by DuPont include a material used to coat cooking utensils called Teflon, a component of bulletproof vests called kevlar, and a solid surface material for making kitchen counter tops called Corian. In late 1999, DuPont established an energy goal for 2010 of holding energy consumption at its 1990 level.⁶³ The company did not simply establish the sustainability goal, but has also been tracking company progress in reaching the goal. Data acquired through such tracking tells DuPont management if activities aimed at reaching its 2010 energy consumption goal are working or if a new or modified approach to reaching the goal should be instituted. Overall, history shows that the company seems on track to achieve its 2010 energy consumption goal and has attained an overall reduction of 7 percent in energy consumption since establishing the goal.

CHALLENGE CASE SUMMARY

Social responsibility is the obligation of management to take action that protects and improves the welfare of society in conjunction with the interests of the organization. Based on the Challenge Case, Verizon protects and improves its communities through the use of its advanced telecommunication networks to improve the quality of life. Verizon presently makes substantial contributions in applying this technology in many different areas of community life and concern. According to Keith Davis's social responsibility model, making such investments in the welfare of society is essential to being a good business citizen. Corporations, however, must also take steps to protect their own interests while making social investments. For example, by helping to improve the educational level of citizens throughout the world, Verizon is simultaneously protecting its interests by preparing these citizens to be better able to use Verizon technology products in the future.

Following Davis's model of social responsibility further, Verizon should commit to benefiting society because of the vast power the company possesses in creating such benefit. It should be remembered, however, that the costs of social responsibility activities can be passed to consumers, and action should be taken only if it is financially feasible. For Verizon to invest in social responsibility activities to its own financial detriment would be socially irresponsible given the company's commitment to employees and stockholders.

Verizon could become involved in many different areas of social responsibility. Currently, however, the company targets two specific areas of concern: literacy and education and safety and health. In addition, it provides financial support to other not-for-profit organizations supported by its employees. No matter how much Verizon does in pursuing social responsibility goals, however, it will no doubt be criticized by someone for not doing

enough. At this point, Verizon's activities in the area of social responsibility appear to be highly significant.

Anything Verizon does within the sphere of social responsibility could result in a short-run profit decrease simply because of the costs. Although, at first glance, such action might seem unbusinesslike, performing social responsibility activities could significantly improve Verizon's public image and could be instrumental in generating increased sales.

Some social responsibility activities are legislated and therefore *must* be performed by businesses. Most of the legislated activities, however, are aimed at larger companies like Verizon. Such legislation has to do with required levels of product safety and employee safety. Because Verizon is not required by law to support things such as education or campaigns to end domestic violence, whatever it might contribute to such areas would be strictly voluntary. In making a decision about how to support society, Verizon management should assess the positive and negative outcomes of such support over both the long and short terms, and then establish whatever support, if any, would maximize its success and offer some desirable contribution to society. Verizon should communicate to all organization members, as well as society, those areas it will support and why. The use of its Web site could greatly facilitate this communication.

Verizon should strive to maintain a relatively high level of social responsiveness in pursuing its social responsibility activities. To do this, management should make decisions focusing on Verizon's established social responsibility areas and approach meeting those responsibilities in appropriate ways. In terms of supporting education, for example, management must first decide if Verizon has a social responsibility to become involved, through the design and application of its products or efforts, in society's education issues. Assuming it was decided that Verizon *has* such a responsibility, it must then determine how to accomplish the activities necessary to meet it. For example, Verizon might employ its expertise to expand the online offerings of Thinkfinity.org, its Web site repository of free educational materials. Making appropriate decisions will help Verizon meet social obligations effectively and efficiently.

In terms of implementing an approach to meeting social responsibilities that will increase Verizon's social responsiveness, management should try to view the company as having both societal and economic goals. In addition, management should attempt to anticipate social problems and actively work to prevent them. Managers at Verizon should know that pursuing social responsibility objectives is a major management activity. Therefore, they must plan, organize, influence, and control Verizon's social responsibility activities if the company is to be successful in reaching social responsibility objectives.

Regarding the planning of these activities, management should determine how Verizon will achieve its

objectives. By incorporating social responsibility planning into Verizon's overall planning process, social trends forecasts can be made along with economic, political, and technological trends forecasts. In turn, these forecasts would influence the development of plans and, ultimately, the action taken by Verizon in the area of social responsibility.

Management also must be able to turn Verizon's social responsibility policy into action. To convert a goal into action, management should first communicate the policy to all organization members. Next, it must determine the best way to achieve the goal. Finally, management should make sure everyone at Verizon is committed to meeting related objectives and that lower-level managers are allocating funds and establishing appropriate opportunities for organization members to help implement this policy.

In addition to planning social responsibility activities at Verizon, management must organize, influence, and control them. To organize these activities, orderly use of all resources at Verizon must be established to carry out the company's social responsibility plans. Developing an organization chart that shows the social responsibility area with corresponding job descriptions, responsibilities, and specifications for the positions would be an appropriate step for management to take.

To influence social responsibility activities, organization members should be guided in directions that will enhance the attainment of Verizon's social responsibility objectives. Management must lead, communicate, motivate, and work with groups in ways that are appropriate for meeting those objectives.

To control, management must make sure that social responsibility activities occur as planned. If they do not, changes should be made to ensure that activities will be handled properly in the near future. One tool that can be used to check Verizon's progress in meeting social responsibilities is the social audit. The audit will enable management to check and assess system performance in such areas as economic functions, quality of life, social investment, and problem solving.

Assuming management at Verizon is ethical, its decisions would focus on enhancing the well-being of all company stakeholders. In essence, management should follow the Golden Rule by acting in a way that it would expect others to act toward it. Decisions at Verizon will always be ethical if they are truthful and fair to all concerned, if they build goodwill and better friendships, and if they are beneficial to all concerned.

Verizon would want its corporate decisions to be sustainable—that is, able to meet the company's present needs without compromising the needs of others in the future. It would be up to Verizon management to determine the steps the company must take to achieve organizational sustainability. For example, it may be necessary to hire additional staff with unique expertise to help Verizon achieve sustainability.

To measure the level of sustainability at Verizon, managers could use the triple bottom-line approach. Under this yardstick, managers would assess Verizon's activities in economic, environmental, and societal terms. For example, they would ask the questions:

Is Verizon performing profitably and providing a fair return to stakeholders? (economic)

Is Verizon reducing its carbon footprint, minimizing energy use, or otherwise improving the natural environment through its work methods? (environmental)
Is Verizon enhancing the overall quality of life in the communities in which it does business? (societal)

Answers to the above questions will help Verizon management determine whether its policies are sustainable.

MANAGEMENT SKILL ACTIVITIES

This section is specially designed to help you develop corporate social responsibility skill. An individual's corporate social responsibility skill is based on an understanding of social responsibility concepts and the ability to apply those concepts in management situations. The following activities are designed to both heighten your understanding of social responsibility concepts and to develop the ability to apply those concepts in a variety of management situations.

UNDERSTANDING CORPORATE SOCIAL RESPONSIBILITY CONCEPTS



To check your understanding and to practice using the concepts in this chapter, go to www.mymanagementlab.com and explore the material associated with Chapter 3.

Know Key Terms

Understanding the following key terms is critical to your understanding of chapter material. Define each of these terms. Refer to the page(s) referenced after a term to check your definition or to gain further insight regarding the term.

corporate social responsibility 52	social responsiveness approach 59	whistle-blower 68
social responsiveness 57	social audit 62	sustainability 68
stakeholder 58	ethics 63	sustainable organization 69
social obligation approach 59	code of ethics 64	triple bottom-line 69
social responsibility approach 59	whistle-blowing 68	

Know How Management Concepts Relate

This section is comprised of activities that will further sharpen your understanding of management concepts. Answer essay questions as completely as possible. Also, remember that many additional true/false and multiple choice questions appear online at MyManagementLab.com to help you further refine your understanding of management concepts.

1. What are the five propositions of the Davis Model of corporate social responsibility? Which proposition would be the most valuable to you as a manager in guiding your social responsibility focus in an organization? Explain.
2. What is your personal position about businesses performing social responsibility activities now that you have studied the arguments "for" and "against" as presented in the chapter?
3. As a manager, would you use the social obligation, the social responsibility, or the social responsiveness approach in meeting your organization's social responsibilities? Why?
4. How can society help business meet social obligations?
5. What's the relationship between social responsibility and ethics?
6. Do you think it's worthwhile for managers to build sustainable organizations? Why? How would you do it?

DEVELOPING MANAGEMENT SKILLS

Learning activities in this section are aimed at helping you develop social responsibility skill. Learning activities include Exploring Your Management Skill: Parts 1 and 2, Experiential Exercises, Cases, and a VideoNet Exercise.

Exploring Your Management Skill: Part 1

Before studying this chapter, respond to the following questions regarding the type of advice you would give to Verizon Foundation's president Patrick R. Gaston, referenced in the Challenge Case. Then address the concerning social responsibility challenges that he presently faces. You are not expected to be a social responsibility expert at this point. Answering the questions now can help you focus on important points when you study the chapter. Also, answering the questions again after you study the chapter will give you an idea of how much you have learned.

Record your answers here or online at MyManagementLab.com. Completing the questions at MyManagementLab.com will allow you to get feedback about your answers automatically. If you answer the questions in the book, look up answers in the Exploring Your Management Skill section at the end of the book.

FOR EACH STATEMENT CIRCLE

- "Y" if you would give the advice to Gaston.
- "N" if you would NOT give the advice to Gaston.
- "NI" if you have no idea whether you would give the advice to Gaston.

Mr. Gaston, in meeting your social responsibility challenges at the Verizon Foundation, you should . . .

<i>Before</i>	<i>After</i>
Study	Study

1. pass the costs of social responsibility activities on to the consumer.
Y, N, NI
2. be willing to have managers perform activities that result in good for society even though these activities might be outside the managers' normal area of expertise.
Y, N, NI
3. require managers to perform most social responsibility activities required by law.
Y, N, NI
4. normally require the performance of only a few social responsibility activities that benefit society but not Verizon.
Y, N, NI
5. monitor the Occupational Safety and Health Administration to keep current regarding safety and health legislation regarding conditions in nongovernmental workplaces.
Y, N, NI
6. be socially responsible toward Verizon's stakeholders.
Y, N, NI
7. be careful to determine whether Verizon has a social responsibility in a particular community before formulating and implementing programs to meet the needs of that community.
Y, N, NI
8. put more focus on effectiveness than efficiency in carrying out social responsibility activities.
Y, N, NI
9. determine whether the costs of performing social responsibility activities outweigh the benefits gained by performing them.
Y, N, NI
10. implement a special planning process to focus only on formulating and implementing social responsibility activities.
Y, N, NI
11. include environmental forecasts in determining future social responsibility activities of Verizon.
Y, N, NI
12. determine Verizon's short-run social responsibility plans before determining Verizon's long-run social responsibility plans.
Y, N, NI
13. periodically perform a social audit to monitor Verizon's social responsibility progress.
Y, N, NI
14. make sure that you control social responsibility activities by making sure that they happen as planned.
Y, N, NI
15. normally not worry about motivating Verizon employees to perform social responsibility activities since "doing good works" will be enough reward.
Y, N, NI
16. do not have to be concerned with the 'triple bottom-line' standard.
Y, N, NI

Exploring Your Management Skill: Part 2

As you recall, you completed Exploring Your Management Skill before you started to study this chapter. Your responses gave you an idea of how much you initially knew about social responsibility and helped you focus on important points as you studied the chapter. Answer the Exploring Your Management Skill questions again now and compare your score to the first time you took it. This comparison will give you an idea of how much you have learned from studying this

chapter and pinpoint areas for further clarification before you start studying the next chapter. Record your answers within the text or online at MyManagementLab.com. Completing the survey at MyManagementLab.com will allow you to grade and compare your test scores automatically. If you complete the test in the book, look up answers in the Exploring Your Management Skill section at the end of the book.

Your Management Skills Portfolio

Your Management Learning Portfolio is a collection of activities especially designed to demonstrate your management knowledge and skill. By completing these activities online at MyManagementLab.com, you will be able to print, complete with cover sheet, as many activities as you choose. Be sure to save your work. Taking your printed portfolio to an employment interview could be helpful in obtaining a job.

The portfolio activity for this chapter is Identifying Corporate Social Responsibilities. Read this highlight about the Bugaboo Strollers Company, and answer the questions that follow.

Bugaboo is the brainchild of Dutch designer Max Barenburg and his physician brother-in-law Eduard Zanen. Together they wanted to invent a baby stroller that was functional, fashionable, appealing to both fathers and mothers, and able to function on different types of surfaces.

Their initial product was the Bugaboo Frog. Introduced in Holland in 1999, and named for its “frog-like” suspension wheels

that “jump” over obstacles in its path, the Frog became the “must have” stroller of celebrities and parents who wanted this elite stroller for their babies.

After years of customer feedback and further testing and development on the Frog, the pair realized parents wanted more options and that different parents have different needs. In September of 2005, the pair introduced to the world the Bugaboo Cameleon, Bugaboo Gecko, and the Bugaboo Bee strollers to offer customers more choices.

Management of a company such as Bugaboo must clearly keep in mind the responsibilities that it has to society as a result of its business operations. The following list shows the four categories in which companies commonly have social responsibilities because of business operations. For each category, list the responsibilities to society that you believe Bugaboo has as a result of the products that it offers.

PLANNING ISSUES TO INSPECT

Category Social responsibilities related to the product itself Bugaboo’s Responsibilities to Society 1. _____ 2. _____ 3. _____ 4. _____ 5. _____ Social responsibilities related to marketing practices 1. _____ 2. _____ 3. _____ 4. _____ 5. _____	Social responsibilities related to corporate philanthropy 1. _____ 2. _____ 3. _____ 4. _____ 5. _____ Social responsibilities related to employees 1. _____ 2. _____ 3. _____ 4. _____ 5. _____
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Experiential Exercises

1 The Environmental Impact Team

Directions. Read the following scenario and perform the listed activities. Your instructor may want you to perform the activities as an individual or within groups. Follow all of your instructor's directions carefully.

You are the head of a major British newspaper, *Guardian Unlimited*, and have just completed a social audit of your organization's business activities. Your company produces a progressive, enlightened newspaper and a Web site, and writes regularly about corporate social responsibility topics. You conducted your social audit to make sure your company measures up to the high standards your editorials expect of other companies. In the past, your company has won several social responsibility awards in areas such as encouraging diversity, innovation in social reporting, and employee giving to social responsibility causes.

Based on the results of your audit, you have set a new social responsibility goal for your newspaper for the upcoming three-year period. This goal is simple: to persuade your readers to have a positive impact on the environment.

You have established a new team called the Environmental Impact Team to help you outline how your new goal will be accomplished. You are presently meeting with this new team for the first time. Lead your group in outlining plans, organization features, an influence system, and a control mechanism, all aimed at achieving this new goal.

2 You and Your Career

The preceding information implies that managers should communicate to other organization members the extent to which their organizations will be involved in performing social responsibility activities. Could the lack of such communication hinder your career success as a manager? Explain. As president of the school in which you are presently enrolled taking this management class, what would you say to professors and students regarding the overall position on social responsibility that you would like for the school to embrace? What specific activities should be pursued corresponding to this position?

VideoNet Exercise

Social Responsibility at TerraCycle

Video Highlights

CEO Tom Szaky, self-proclaimed "eco-capitalist," gives us the scoop on starting his quickly growing company, which "manufactures potent, organic products that are not only made from waste, but are also packaged entirely in waste. TerraCycle Plant Food™ is made by feeding premium, organic waste to millions of worms. The worm poop is then liquefied into a powerful organic plant food and bottled directly in used soda bottles. This story gives the phrase 'earth-friendly' a whole new meaning" (www.terracycle.net). Tom debunks the myth that doing the right thing costs more and explains how TerraCycle is different from other green businesses.

- Using the Davis Model, discuss which of the five propositions of corporate responsibility you think are most applicable to TerraCycle.
- Which management approach to meeting social obligations is being used by Szaky and TerraCycle?

Internet Activity

Go to the TerraCycle Web site at www.terracycle.net. Read the information on Ecocapitalism presented in the "Our Revolution" section, as well as the biography of Tom Szaky presented in the "Careers" section. Based on his theories and actions, do you see Szaky as a socially responsible manager? Overall, are his positions on social responsibility enhancing company success? Explain.

Discussion Questions

- What argument does Tom Szaky use for his business performing socially responsible activities?

CASES

1 VERIZON'S COMMITMENT TO SOCIAL RESPONSIBILITY

"Verizon's Commitment to Social Responsibility" (p. 51) and its related Challenge Case Summary were written to help you better understand the management concepts contained in this chapter. Answer the following discussion questions about the Challenge Case to better understand how concepts relating to corporate social responsibility and business ethics can be applied in a company such as Verizon.

- Do you think Verizon has a responsibility to support education and safety in the communities in which it does business? Explain.

- Assuming Verizon has such a responsibility, in what instances would it be relatively easy for the company to be committed to living up to it?
- Assuming Verizon has such a responsibility, in what instances would it be relatively difficult for the company to be committed to living up to it?

2 GAP GOES PUBLIC ON SOCIAL RESPONSIBILITY

Read the case and answer the questions that follow. Studying this case will help you better understand how concepts relating to corporate social responsibility and business ethics can be applied in a company such as Gap Inc.

Shortly after Paul Pressler became CEO of Gap Inc., his teenage daughter asked him, “Doesn’t Gap use sweatshops?” The new CEO wasn’t surprised by her question. Despite all the news coverage about the company’s ups and downs, he realized that many customers, investors, and other stakeholders knew little about Gap’s progress in monitoring and improving factory conditions. Gap operates 3,000 Gap, Banana Republic, and Old Navy stores in five countries, ringing up \$16 billion in annual sales revenue. To keep its racks full of fashions, Gap’s merchandise managers buy clothing and accessories from thousands of factories spread across North and South America, Eastern and Western Europe, Africa, India, Asia, and the Middle East.

Gap was going through a difficult time when Pressler came aboard. The company had lost money during the previous year and sales were stalled amid a sluggish economy. What’s more, the stores were stuffed with inventory, markdowns were squeezing profit margins, and competition among clothing retailers was fiercer than ever. To turn Gap around, the CEO and his management team carefully researched their customers, changed both stores and merchandise to sharpen distinctions among the three chains, and began using special software to support their pricing decisions.

In addition to these urgent challenges, Pressler knew that Gap had been wrestling with allegations that some of its suppliers mistreated workers, employed children, and tolerated other violations. Gap’s senior management first developed labor, health, and safety standards for company suppliers to follow in 1992. Over the next decade, its executives toughened the rules, hired dozens of inspectors to visit factories, and investigated whether Gap’s standards were being met. By the time Pressler became CEO, the company had created an independent Global Compliance department and was spending millions of dollars checking up on suppliers, then taking action. For example, in 2003 alone, Gap stopped buying from 136 overseas factories that repeatedly violated its rules.

Gap had been posting some information about factory standards on its company Web site for a few years. Now the CEO gave the go-ahead to publish a more comprehensive social responsibility report. The initial 40-page report noted that Gap had made progress in helping suppliers improve factory conditions and in forging ties with nongovernmental

organizations to build momentum for sustainability. Candidly, the report admitted that Gap still had a way to go in achieving “transparency” and getting the entire industry to address factory conditions. In pushing for more transparency, the company invited representatives of several stakeholder groups to comment on its social responsibility results and suggest improvements. Rather than keeping this feedback private, Gap reported both the compliments and the criticisms. It also printed its four social responsibility goals for the coming year, opening the door to closer stakeholder scrutiny of Gap’s future performance in those areas.

While praising the company for going public with its results, some activists told the news media that Gap should be doing more to address factory conditions—and doing it more quickly. “We recognize and embrace our duty to take a leadership role” in promoting such changes, Pressler said in the report. He also mentioned the year’s other social responsibility accomplishments, including donating \$60 million to nonprofit groups, recycling 20,000 tons of cardboard and paper, and giving employees time off to volunteer 22,000 hours helping worthy causes.

Under Pressler, Gap returned to profitability and set ambitious financial goals for the future. Asked about Gap’s ability to continue building sales and profits, Pressler recently said, “We don’t take yesterday’s success as a guarantee for tomorrow.” That’s also true on the social responsibility side. No one company can overhaul conditions in every supplier’s factories overnight, but Pressler is committed to making a difference in the lives of thousands of workers. Is the message getting out to Gap’s stakeholders—and to his daughter?

QUESTIONS

1. Should Gap publicly report its social responsibility results in detail, even if every objective hasn’t been completely achieved?
2. Do you think Gap’s conversion of social responsibility policies into action is in phase 1, phase 2, or phase 3? Explain.
3. Is Gap’s approach to social responsibility based on obligation, responsibility, or responsiveness? Support your answer.

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Exploring Your Management Skill Answers

Chapter 1

1. Y
2. N
3. N
4. N
5. Y
6. Y
7. Y
8. N
9. Y
10. N
11. Y
12. N
13. N
14. N

Chapter 2

1. Y
2. N
3. Y
4. N
5. Y
6. N
7. Y
8. Y
9. N
10. N
11. N
12. Y
13. Y
14. N
15. Y

Chapter 3

1. Y
2. N
3. N
4. N
5. Y
6. Y
7. Y
8. N
9. Y
10. N
11. Y
12. N
13. Y
14. Y
15. N

Chapter 4

1. Y
2. N
3. N
4. Y
5. Y
6. N
7. Y
8. N

9. N
10. N
11. Y
12. N
13. Y
14. N
15. N

Chapter 5

1. N
2. N
3. Y
4. N
5. Y
6. N
7. Y
8. Y
9. Y
10. N
11. N
12. Y
13. Y
14. Y
15. N

Chapter 6

1. N
2. Y
3. N
4. Y
5. Y
6. N
7. Y
8. Y
9. N
10. N
11. N
12. Y
13. N
14. N
15. Y

Chapter 7

1. N
2. N
3. N
4. Y
5. Y
6. N
7. N
8. N
9. Y
10. N
11. Y
12. N
13. Y
14. Y
15. N

Chapter 8

1. N
2. Y
3. N
4. N
5. N
6. N
7. Y
8. N
9. Y
10. N
11. Y
12. N
13. N
14. Y
15. N

Chapter 9

1. N
2. N
3. Y
4. N
5. N
6. Y
7. Y
8. Y
9. N
10. N
11. Y
12. N
13. Y
14. N
15. Y

Chapter 10

1. Y
2. N
3. N
4. N
5. Y
6. N
7. Y
8. N
9. Y
10. N
11. N
12. N
13. N
14. N
15. Y

Chapter 11

1. N
2. Y
3. N
4. Y
5. N
6. N
7. N

8. Y
9. N
10. N
11. Y
12. N
13. N
14. Y
15. N

Chapter 12

1. Y
2. N
3. Y
4. N
5. Y
6. Y
7. N
8. N
9. N
10. Y
11. Y
12. N
13. Y
14. N
15. Y

Chapter 13

1. N
2. N
3. N
4. Y
5. Y
6. N
7. N
8. N
9. Y
10. Y
11. Y
12. N
13. N
14. Y
15. N

Chapter 14

1. N
2. Y
3. N
4. N
5. Y
6. N
7. Y
8. Y
9. N
10. N
11. Y
12. N
13. Y
14. N
15. N

Chapter 15

1. N
2. Y
3. N
4. N
5. Y
6. Y
7. Y
8. Y
9. N
10. N
11. N
12. N
13. Y
14. Y
15. N

Chapter 16

1. N
2. N
3. N
4. Y
5. N
6. N
7. N
8. N
9. Y
10. Y
11. Y
12. N
13. Y
14. Y
15. Y

Chapter 17

1. N
2. N
3. N
4. Y
5. Y
6. Y
7. N
8. Y
9. N
10. N
11. N
12. N
13. N
14. Y
15. N

Chapter 18

1. N
2. N
3. N
4. Y
5. Y
6. Y
7. N

8. Y
9. Y
10. N
11. Y
12. N
13. Y
14. Y
15. N

Chapter 19

1. Y
2. N
3. N
4. N
5. Y
6. Y
7. Y
8. N
9. Y
10. N
11. Y
12. N
13. Y
14. Y
15. N

Chapter 20

1. N
2. N
3. N
4. Y
5. Y
6. N
7. N
8. N
9. Y
10. Y
11. Y
12. N
13. N
14. Y
15. N

Chapter 21

1. N
2. N
3. Y
4. Y
5. N
6. Y
7. Y
8. Y
9. N
10. Y
11. N
12. N
13. N
14. N
15. Y

Chapter 22

1. Y
2. N
3. N
4. Y
5. N
6. N
7. N
8. Y
9. N
10. N
11. N
12. Y
13. N
14. N
15. N